Jadan Holdings - MASTER B2B BUSINESS PLAN & 5-YEAR FINANCIAL MODEL

Parent Entity: Jadan Holdings (Pty) Ltd
Operating Network: Regional B2B Mortuary Cold Storage & Logistics Infrastructure Network
Hub Facilities Footprint: 400 Stainless Steel Trays / Beds per Establishment
Founding Executive Leadership: Rebaone Dandashe & Kaya Jajula

1. EXECUTIVE SUMMARY & STRATEGIC VISION

This Master Business Plan establishes the corporate strategy, operational framework, equipment procurement model, local supplier network, SWOT analysis, and 5-year financial model for establishing South Africa's premier 100% B2B Mortuary Cold Storage and Logistics Infrastructure Network.

Pure 100% B2B Strategic Focus

The enterprise operates exclusively as a Business-to-Business (B2B) Infrastructure Engine. We completely eliminate retail funeral arrangements, casket sales, family services and policy underwriting (B2C), avoiding direct competition with funeral parlours.
Instead, we position our high-capacity hubs as essential infrastructure partners for independent funeral parlours, scheme managers, financial brokers, hospital removal teams and stokvels who lack certified cold storage facilities in high-growth corridors.
To ensure extreme operational resilience and accommodate emergency surge demands, the facility maintains a **35% emergency buffer** and operates at a **65% active utilization ratio** (260 concurrent active beds per hub).

2. DUAL CAPITAL FUNDING STRUCTURE & "USE OF FUNDS" SCHEDULE

To fast-track launch readiness and mitigate risks associated with potential government disbursement delays, Jadan Holdings evaluates two parallel capital funding pathways for its **R4,500,000.00** initial setup requirement.

2.1 Upfront Capital Allocation Schedule (R4,500,000.00)

Capital Allocation Category	Detailed Expense Items & Specifications	Amount (ZAR)
Leasehold & Facility Alterations	Enclosed drive-through bay roller shutters, automated security gates, heavy-duty sluice plumbing, biohazard drainage interceptors and 3-phase high-power electrical distribution.	R850,000.00
Equipment Down Payments & Setup	12%–15% upfront deposit for AfriChill 400-unit modular cold rooms (R4.24M CapEx), Mercurial embalming/prep tables, stainless steel racks and YSENMED electric corpse lifters under Rent-to-Own.	R550,000.00

Capital Allocation Category	Detailed Expense Items & Specifications	Amount (ZAR)
Working Capital & OpEx Reserve (M1–M5)	5-month operational buffer covering base property rental provision of R160,000.00/mo, estate levies, fiber, utilities, and initial payroll during the Month 1–5 ramp-up.	R1,600,000.00
Compliance, Licensing & Pre-Opening	21-day public newspaper notice publications, City of Johannesburg Health CoC inspection fees, environmental waste deposits and initial Grange heavy-duty biohazard PPE inventory.	R400,000.00
Emergency Contingency Reserve (24%)	Unforeseen site fitting adjustments, backup generator connection accessories and initial marketing outreach to township undertakers.	R1,100,000.00
TOTAL INITIAL CAPITAL REQUEST	**100% Third-Party Debt / Grant / Angel Financing Package**	**R4,500,000.00**

2.2 Funding Pathway Comparison: Option A vs. Option B

OPTION A: Government Development Finance Institutions (NEF / SEFA / GEP / the dtic / IDC)

- **Structure:** Concessionary debt and grant blend targeting Black-owned SMME industrial infrastructure.
- **Cost of Capital:** Prime - 2.0% to Prime + 1.0% (p.a.).
- **Repayment Terms:** 60-Month term with a 6-to-12 month capital moratorium.
- **Advantage:** Low interest rate and concessionary development terms.
- **Risk / Challenge:** Lengthy municipal/DFI approval committee cycles (4–9 months approval window).

OPTION B: Private Debt / Angel Investor Loan (Fast-Track Deployment)

- **Structure:** Senior secured private debt facility with a 6-month grace period.
- **Principal Amount: R4,500,000.00**
- **Interest Rate: 18.0% per annum (fixed)**
- **Grace Period (Months 1–5):** R0.00 Principal Repayments.
- **Repayment Period (Months 6–29):** 24 equal monthly installments of R224,658.46 / month.
- **Total Interest Paid:** R891,803.04
  Total Loan Repaid: R5,391,803.04.

3. FACILITY SPECIFICATIONS & PREMISES LEASING PROVISION

- **Premises Status:** The company does not currently have premises locked down / leased as we are actively evaluating suitable light industrial premises in key target corridors across Johannesburg North and Midrand areas (e.g. Riversands, Chartwell, Kya Sands, Corporate Park North/South, Lanseria Corporate Estate).

- **Lease Budget Provision:** A dedicated provision of R160,000.00 per month has been allocated for premises rental/lease.
- **Utility Expenses:** 3-Phase Industrial Electricity (R75,000.00/mo), Fresh Potable Water (R19,290.00/mo) and Commercial Sewerage & Trade Effluent (R17,700.00/mo) are fully provisioned and added on top of the base rent, ensuring complete operational readiness upon lease execution.

4. EQUIPMENT PROCUREMENT & AFRICHILL RENT-TO-OWN MODEL

- **Cold Storage Partner:** AfriChill Cold Storage Solutions (Local Gauteng manufacturer).
- **400-Tray Setup:** 400 Grade 304 Stainless Steel Trays, 100 Bays 4-Tier Racking, 100mm PU Paneling (~250 m² floor area), Multiplexed Refrigeration Plants.
- **Rent-to-Own Structure:** 60-Month Lease-to-Own Commercial Agreement @ R98,600.00 / month (100% tax deductible under SARS OpEx).

5. REGULATORY, LICENSING & COMPLIANCE MATRIX

- **Phase 1:** Lease Execution & Spatial Layout Sign-Off
- **Phase 2:** 21-Day Public Newspaper Notice Publication
- **Phase 3:** Facility Build-Out & Sluice Drainage Inspection
- **Phase 4:** Municipal Health Inspection & CoC Issuance
- **Phase 5:** Biohazard Waste SLA & Operational Clearance

6. STANDALONE HUB 1 FINANCIAL MODEL & 5-YEAR OVERVIEW

Core Unit Economics & Monthly Base OpEx Breakdown

- **B2B Intake Fee:** R2,400.00
  Direct COGS: R350.00
  Gross Profit Margin: R2,050.00 (85.42%)
- **Hub 1 Monthly Base OpEx:**
  R465,806.45 / month (Includes R160,000.00 Premises Rent Provision,
  R22,000.00 Rates/Levies/Security,
  R75,000.00 3-Phase Electricity,
  R19,290.00 Fresh Water,
  R17,700.00 Sewerage & Trade Effluent,
  R18,500.00 Biohazard Waste,
  R21,316.45 Maintenance & Insurance,
  R132,000.00 Direct Staff Payroll)
- **Equipment Lease (AfriChill Rent-to-Own for 400 Units):** R98,600.00 / month
- **Executive Salaries Pool:** R80,000.00 / month (Year 1)
  R120,000.00 / month (Years 2-5)
- **Total Monthly OpEx:** R644,406.45 / mo (Year 1)

R684,406.45 / mo (Years 2-5)
- **Option B Investor Debt Service:** R224,658.46 / month (Months 6 to 29)

Consolidated Standalone 5-Year Financial Summary (Hub 1 Only)

- **Year 1 (1 Hub):**
  Intakes: 7,510
  Gross Revenue: R18,024,000.00
  Direct COGS: R2,628,500.00
  Gross Profit: R15,395,500.00
  Base OpEx: R5,589,677.40
  AfriChill Lease: R1,183,200.00
  Executive Salaries: R960,000.00
  Total OpEx: R7,732,877.40
  Net EBITDA: +R7,662,622.60
  Debt Service (Opt B): R1,572,609.22
  Net Free Cash Flow: +R6,090,013.38
- **Year 2 (1 Hub):**
  Intakes: 18,720
  Gross Revenue: R44,928,000.00
  Direct COGS: R6,552,000.00
  Gross Profit: R38,376,000.00
  Base OpEx: R5,589,677.40
  AfriChill Lease: R1,183,200.00
  Executive Salaries: R1,440,000.00
  Total OpEx: R8,212,877.40
  Net EBITDA: +R30,163,122.60
  Debt Service (Option B): R2,695,901.52
  Net Free Cash Flow: +R27,467,221.08
- **Year 3 (1 Hub):**
  Intakes: 18,720
  Gross Revenue: R44,928,000.00
  Direct COGS: R6,552,000.00
  Gross Profit: R38,376,000.00
  Base OpEx: R5,589,677.40
  AfriChill Lease: R1,183,200.00
  Executive Salaries: R1,440,000.00
  Total OpEx: R8,212,877.40
  Net EBITDA: +R30,163,122.60
  Debt Service (Opt B): R1,123,292.30
  Net Free Cash Flow: +R29,039,830.30
- **Year 4 (1 Hub):**
  Intakes: 18,720

Gross Revenue: R44,928,000.00
Direct COGS: R6,552,000.00
Gross Profit: R38,376,000.00
Base OpEx: R5,589,677.40
AfriChill Lease: R1,183,200.00
Executive Salaries: R1,440,000.00
Total OpEx: R8,212,877.40
Net EBITDA: +R30,163,122.60
Debt Service (Opt B): R0.00
Net Free Cash Flow: +R30,163,122.60

- **Year 5 (1 Hub):**
  Intakes: 18,720
  Gross Revenue: R44,928,000.00
  Direct COGS: R6,552,000.00
  Gross Profit: R38,376,000.00
  Base OpEx: R5,589,677.40
  AfriChill Lease: R1,183,200.00
  Executive Salaries: R1,440,000.00
  Total OpEx: R8,212,877.40
  Net EBITDA: +R30,163,122.60
  Debt Service (Opt B): R0.00
  Net Free Cash Flow: +R30,163,122.60
- **5-Year Grand Total:**
  Intakes: 82,390
  Gross Revenue: R197,736,000.00
  Direct COGS: R28,836,500.00
  Gross Profit: R168,899,500.00
  Base OpEx: R27,948,387.00
  AfriChill Lease: R5,916,000.00
  Executive Salaries: R6,720,000.00
  Total OpEx: R40,584,387.00
  Net EBITDA: +R128,315,113.00
  Option B Investor Debt Repaid: R5,391,803.04
  Net Free Cash Flow After Debt: +R122,923,309.96